The innovative investor should use the relevant aspects of the framework we detailed in Chapter 12 to investigate whether an ICO is a sound investment. That said, things are a little trickier with ICOs than with currently functioning cryptoassets. Since ICOs use the crowdfunding model to raise money to build a network, there often is no existing network up and running, thus no blockchain, hash rate, user base, or companies built on it. Everything is an idea at this stage. As a result, the integrity and prior history of the founding and advisory team are all the more important, as is the thematic investigation of whether this ICO is filling a marketplace and business need.

Structuring and Timing of the ICO

ICOs have a fixed start and end date, and often there is a bonus structure involved with investing earlier. For instance, investing at an early stage may get an investor 10 to 20 percent more of a cryptoasset. The bonus structure is meant to incentivize people to buy in early, which helps to assure that the ICO will hit its target offering. There’s nothing like bonuses followed by scarcity to drive people to buy.

It’s best practice that an ICO also have a minimum and maximum amount that it plans to raise. The minimum is to ensure the development team will have enough to make a viable product, and the maximum is to keep the speculation of crowds in check. For example, the infamous DAO ICO didn’t set a maximum limit on the fundraising amount, which led to rampant speculation.